

INSURANCE AND PENSIONS COMMISSION



REPORT FOR THE YEAR ENDED 31 DECEMBER 2017



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Definition of Terms

<i>GPW</i>	<i>Gross Premium Written</i>
<i>NPI</i>	<i>Net Premium Income</i>
<i>GPI</i>	<i>Gross Premium Income</i>
<i>IPEC/Commission</i>	<i>Insurance & Pensions Commission</i>
<i>Q1</i>	<i>First Quarter</i>
<i>Q2</i>	<i>Second Quarter</i>
<i>Q3</i>	<i>Third Quarter</i>
<i>Q4</i>	<i>Fourth Quarter</i>
<i>TCF</i>	<i>Treating Customers Fairly</i>
<i>Prescribed Assets</i>	<i>Prescribed Securities as defined by Insurance Act [Chapter 24:07]</i>
<i>Dec 16</i>	<i>December 2016</i>
<i>Dec 17</i>	<i>December 2017</i>
<i>H1</i>	<i>Half Year</i>
<i>Var</i>	<i>Variance</i>

Please Note: ***All Monetary Figures are in USD and in Thousands (000) except where stated.***

SECTION A

EXECUTIVE SUMMARY

- 1.1** The insurance sector remained stable during the period under review due to an improvement in the micro-economic and social environment in the country.
- 1.2** The life assurance industry was made up of 11 direct life assurance companies, 5 composite reinsurance companies and 1613 individual agents as at 31 December 2017.
- 1.3** The industry total assets grew by 35% from \$1.84 billion as at 31 December 2016 to \$2.48 billion as at 31 December 2017. This growth was largely due to favourable performances in the fixed properties and equities markets which grew by 7% and 138% respectively over the quarter.
- 1.4** Investments in prescribed assets for both life assurance companies and life reinsurers rose by 77% from \$171 million as at 31 December 2016 to \$304 million as at 31 December 2017.
- 1.5** As at 31 December 2017, 8 of 11 licensed life companies were capitalised and complied with minimum capital requirements. The Commission will further engage such players to ensure parity with the statutory instrument 95 of 2017.
- 1.6** The life sector's total net claims increased from \$148.6 million as at 31 December 2016 to \$197.9 million as at 31 December 2017. The total costs increased by 42% from \$219.38 million as at 31 December 2016 to \$312.0 million as at 31 December 2017.
- 1.7** The life sector registered a 56% decline in profitability from \$127.33 million in 2016 and \$55.9 million for the twelve months ended 31 December 2017.
- 1.8** The average liquidity ratio for the industry stood at 331% implying that the industry has sufficient assets to meet claims and other contractual obligations when they fall due.
- 1.9** The capital to liability ratio was at 188% reflecting a growth of 117% from the previous 72%.

1.10 Total gross premium written for the industry maintained an upward trajectory increasing from \$348 million reported last year to \$368 million for the year ended 31 December 2017.

1.11 Due to the growth in claims ratio, the combined ratio for life assurance companies increased by 22% from 63% in 2016 to the current 85% (See Table 1 below).

Table 1: Financial Summary of the Life Assurance industry – 31 December 2017

Financial Aspect	Life Assurers			Life Reassurers			TOTALS		
	Dec-16	Dec-17	Growth	Dec-16	Dec-17	Growth	Dec-16	Dec-17	Growth
Gross Premiums Written	346,553	365,997	6%	7,378	7,709	4%	348,184	368,950	6%
Net Premiums Written	340,806	361,241	6%	5,915	6,564	11%	346,721	367,805	6%
Retention Ratio	98%	99%	-	80%	85%	5%	99.6%	99.7%	0.1%
Total Net Claims (\$000)	146,340	194,439	33%	2,263	3,421	51%	148,603	197,860	33%
Management & Admin Expenses	56,877	93,409	64%	1,023	1,551	52%	57,900	94,960	64%
Commissions	11,832	17,563	48%	1,049	1,610	53%	12,881	19,173	49%
Total Costs	215,049	305,411	42%	4,335	6,582	52%	219,384	311,993	42%
Technical Profit	125,757	55,830	-56%	1,580	(18)	-101%	127,337	55,812	-56%
Expense Ratio	20%	31%	11%	35%	48%	13%	20%	31%	11%
Claims Ratio	43%	54%	11%	38%	52%	14%	43%	54%	11%
Combined Ratio	63%	85%	21%	73%	100%	27%	63%	85%	22%
Total Assets	1,808,837	2,445,284	35%	35,705	36,755	3%	1,844,542	2,482,039	35%
Current Assets	342,750	309,070	-9.83%	31,620	8,831	-72%	374,370	317,901	-15%
Current Liabilities	1,428,101	115,567	-92%	14,979	13,847	-8%	1,443,080	129,414	-91%
Total Liabilities	1,370,314	1,988,509	45%	25,595	13,847	-46%	1,395,909	2,002,356	43%
Free Capital	438,523	456,775	4%	10,110	22,908	127%	448,633	479,683	7%
Liquidity/Current Ratio	24%	267%	243%	211%	64%	-147%	235%	331%	96%
Capital to liability Ratio	32%	23%	-9%	39%	165%	126%	72%	188%	117%
Prescribed Assets	169,621	301,168	78%	1,873	3,216	72%	171,494	304,384	77%
Prescribed Asset Ratio (%)	9%	12%	3%	5%	9%	4%	9%	12%	3%

SECTION B

PERFORMANCE OF PRIMARY LIFE ASSURERS

2. Architecture of the Life Assurance Sector

2.1 As at 31 December 2017, there were 11 registered primary life insurers under the supervision of the Insurance and Pensions Commission (IPEC).

2.2 In addition, the Commission licensed 2 short term insurance companies to underwrite life assurance business as composite insurers.

2.3 As at 31 December 2017, life companies had 1613 agents as compared to 1455 as at 31 December 2016. 99% of the agents recorded/registered as at the reporting date were individual agents and about 1% were corporate agents.

Table 2: Life insurers' agents statistics as at 31 December 2017

Co. Name	Corporates Agents	Individuals Agents		Total
	Fully Registered	Fully Registered	Provisionally Registered	
CBZ Life	4	29	31	64
Econet Life	-	-	-	-
Evolution Health & Life	-	-	-	-
Fidelity Life Assurance	-	26	35	61
First Mutual Life	-	118	98	216
Getsure Life Assurance	1	26	5	32
Heritage Life	-	29	2	31
Nyaradzo Life Assurance	6	225	66	297
Old Mutual Life Assurance	10	248	28	286
ZB Life Assurance	-	116	241	357
Zimnat Life Assurance	-	253	16	269
Total	21	1,070	522	1,613

FML, Nyaradzo, Zimnat, ZB and OM constituted 88.34% of the total agents in the market.

2.4 All players are required to register their agents in terms of the Insurance Act [Chapter: 24:07] before they start transacting insurance business.

3 Business composition

3.1 The life assurance sector wrote a gross premium of \$366 million for the year ended 31 December 2017, a 6% increase from \$347 million realised in the prior year.

3.2 This growth was mainly driven by an increase in business written for endowment and pure endowment policies which recorded growth rate of 67% and 46% respectively which reflect improved confidence in the life assurance sector.

3.3 However, growth in business written was slowed down by a negative 24% growth in group life assurance business which moved from \$52.5 million as at 31 December 2016 to \$40 million as at 31 December 2017.

3.4 Though there is a general outcry in terms of pension payouts emanating from conversion of funds in 2009 when the economy dollarized, there was a notable increase of 7% in Fund business.

3.5 This increase in Fund business may be pointing to increase in confidence levels from the general public on the matters relating to pension affairs.

3.6 Table 3 below shows the breakdown of business by product for 2017 as well as for the comparative period.

Table 3: Gross Premium by Product Type as at 31 December 2017

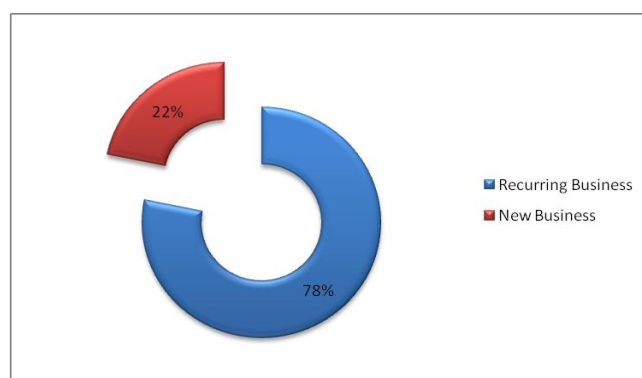
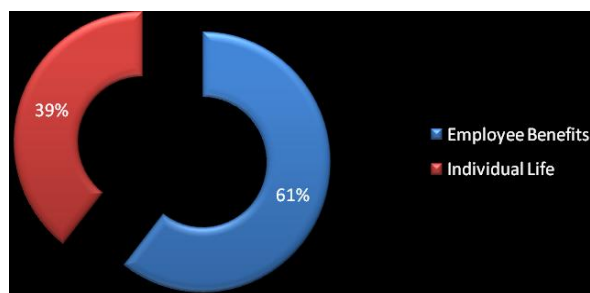
Product	Dec-16	Dec-17	Growth
	\$000	\$000	(%)
Annuities	15,863	16,086	1%
Term Insurance	9,057	9,439	4%
Endowment	1,800	3,012	67%
Pure Endowment	1,830	2,675	46%
Whole Life	9,255	9,260	0%
Funeral	113,879	132,569	16%
Fund Business	142,387	152,983	7%
Other/GLA	52,482	39,973	-24%
Total	346,553	365,997	
Average industry growth %ge			6%

3.7 Employee benefits constituted of about 61% of the total premium income as at the end of the reporting period whereas the balance was premium written in individual life business.

3.8 Though employee benefits continue to dominate individual life business, the growth rate of 15% in individual life business recorded during 2017 was higher than a marginal 1% increase in employee benefits recorded during the same period.

3.9 Figure 1 below shows business composition by line of business

Figure 1: Business Composition by line of businesses



3.10 Out of the total business written by the industry of \$366 million or 78% was derived from recurring business and the balance was generated from new business.

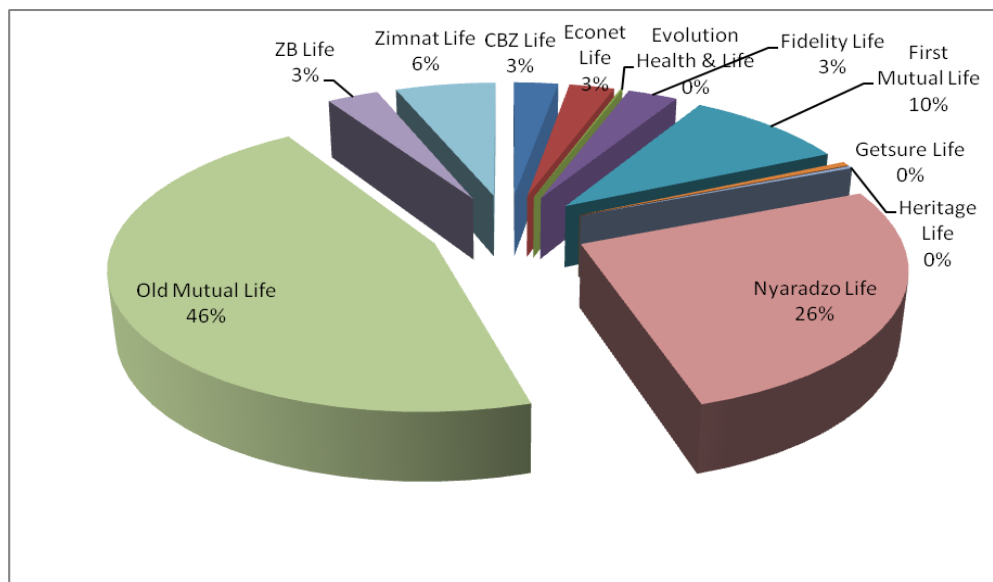
3.11 Notwithstanding that new business constituted a smaller percentage of the business written during the reporting period, there was a positive growth rate of 1% in terms of this category of business which was mainly driven by a 6% increase in new business written for employee benefits.

4 Market Share

4.1 About 72% of the net premium income reported for the year ended 31 December 2017 was generated by two life assurers with the rest of the business being shared amongst the remaining nine (9) life assurers.

4.2 Figure 2 below shows the market share in terms of net premium income for each insurer for the period ended 31 December 2017.

Figure 2: Market share in terms of net premium income



4.3 However, the Commission requires all players to ensure that their premiums are actuarially determined to adequately sustain the industry players in view of the current challenges in the investment markets.

4.4 Furthermore, insurers are discouraged from rate undercutting for the sake of increasing their market share as this may compromise the development and maintenance of an adequate insurance fund required in terms of the Insurance Act [Chapter 24:07].

5 Capitalisation and Solvency

5.1 In terms of Statutory Instrument 95 of 2017, the current minimum regulatory capital for primary life assurers is \$5 million and for composite insurers is \$7.5 million based on adjusted assets and liabilities as prescribed in the Statutory Instrument.

5.2 The total industry net assets or shareholder funds based on unadjusted assets and liabilities amounted to \$457 million as at 31 December 2017, a growth of 4% from \$439 million in 2016.

5.3 As at the reporting date, the unadjusted capital positions for life assurance players ranged from \$2.1 million to \$272 million and only 3 out of 11 primary life assurers

were non-compliant with the minimum capital requirement of \$5 million as depicted in the table 4 below.

5.4 However, it is imperative to note that the capitalization levels for all primary life assurers stated in this report are based on their reported assets and liabilities as at 31 December 2017. These figures were not adjusted in terms of Statutory Instrument 95 of 2017 as the information that is needed in adjusting the assets and liabilities were not readily available during the preparation of this report.

5.5 The Commission has scheduled a capital verification exercise that will be conducted during this year to establish the capitalization levels of individual assurers in terms of the aforementioned statutory instrument.

5.6 Based on unadjusted assets and liabilities the capital to liability ratio or solvency ratio as at 31 December 2017 for the primary life assurers ranged between from 14 percent to 789 percent with the industry average being 23 percent (see table below).

5.7 The table below shows the capitalisation position for the primary life assurers as at 31 December 2017.

Table 4: Levels of Capitalisation, Liquidity and Solvency indicators as at 31 December 2017 on an unadjusted basis

Co. Name	Current Assets			Current Liabilities			Total Assets			Total Liabilities			Capital (Net Assets)			Capital to Liability (%)			Liquidity (Current) (%)		
	Dec-16	Dec-17	Growth	Dec-16	Dec-17	Growth	Dec-16	Dec-17	Growth	Dec-16	Dec-17	Growth	Dec-16	Dec-17	Growth	Dec-16	Dec-17	Growth	Dec-16	Dec-17	Growth
CBZ Life	16,869	17,082	1%	104,097	2,997	-97%	22,278	22,390	1%	4,044	4,803	19%	18,234	17,587	-4%	451%	366%	-85%	16%	570%	554%
Econet Life	5,267	10,660	102%	368	4,699	1177%	7,331	15,715	114%	484	4,699	871%	6,847	11,016	61%	1415%	234%	-1180%	1431%	227%	-1204%
Evolution Health & Life	229	636	178%	105	388	270%	3,799	3,617	-5%	423	407	-4%	3,376	3,210	-5%	798%	789%	-9%	218%	164%	-54%
Fidelity Life Assurance	33,216	35,835	8%	53,737	19,896	-63%	102,290	100,549	-2%	81,783	83,808	2%	20,507	16,741	-18%	25%	20%	-5%	62%	180%	118%
First Mutual Life	15,678	26,565	69%	113,392	18,437	-84%	142,826	239,121	67%	114,105	164,410	44%	28,721	74,711	160%	25%	45%	20%	14%	144%	130%
Getsure Life Assurance	1,009	768	-24%	1,572	1,594	1%	4,797	6,186	29%	997	1,932	94%	3,800	4,254	12%	381%	220%	-161%	64%	48%	-16%
Heritage Life	1,767	648	-63%	1,633	364	-78%	4,336	2,796	-36%	1,633	626	-62%	2,703	2,170	-20%	166%	347%	181%	108%	178%	70%
Nyaradzo Life Assurance	55,072	55,212	0%	84,061	1,990	-98%	104,980	118,049	12%	84,322	103,980	23%	20,658	14,069	-32%	24%	14%	-11%	66%	2774%	2709%
Old Mutual Life Assurance	190,958	126,880	-34%	988,335	54,164	-95%	1,292,292	1,783,253	38%	1,000,560	1,511,721	51%	291,732	271,532	-7%	29%	18%	-11%	19%	234%	215%
ZB Life Assurance	4,929	2,987	-39%	31,732	3,028	-90%	49,668	51,450	4%	32,315	35,455	10%	17,353	15,995	-8%	54%	45%	-9%	16%	99%	83%
Zimnat Life Assurance	17,756	31,797	79%	49,069	8,010	-84%	74,240	102,159	38%	49,648	76,668	54%	24,592	25,491	4%	50%	33%	-16%	36%	397%	361%
Total	342,750	309,070	-10%	1,428,101	115,567	-92%	1,808,837	2,445,285	35%	1,370,314	1,988,509	45%	438,523	456,776	4%	32%	23%	-9%	24%	267%	243%

Key

	Capital above the minimum required capital of \$2,5 million as at 2016 and \$5 million as at 2017
	Capital below the minimum required capital of \$5 million.

6 Asset mix and quality

6.1 The total assets for the industry grew by 35% from \$1.8 billion as at 31 December 2016 to \$2.5 billion as at 31 December 2017.

6.2 The growth in industry assets was mainly driven by a 138% increase in the value of equities which could be attributed to the bull-run on the Zimbabwe Stock Exchange.

6.3 There was a pronounced decrease in money market instruments and other investments which could have been necessitated by industry players reallocating their assets towards value-preserving assets such as equities and fixed properties.

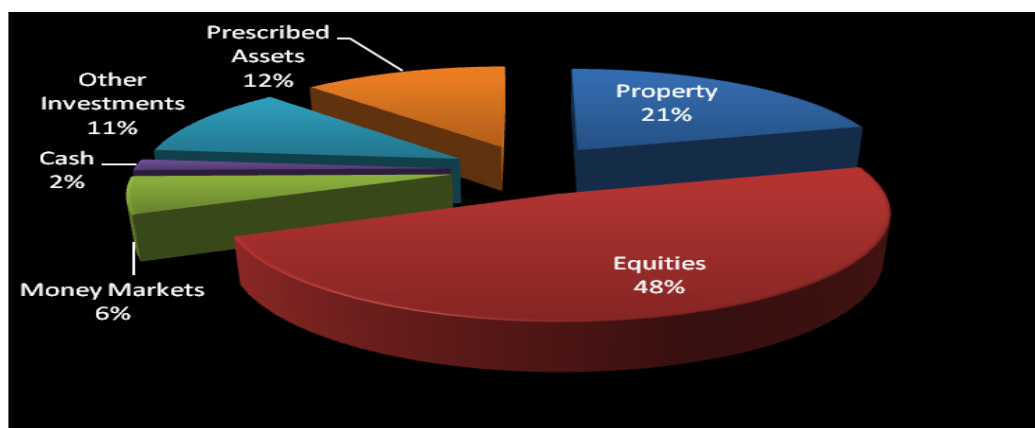
6.4 Investments in equities as a percentage of total investment assets grew from 27% as at 31 December 2016 to 48% as at 31 December 2017. This growth may be attributable to the appreciation in the value of equities as well as reallocation from other investment vehicles into quoted equities.

6.5 Table 5 and figure 3 below shows the mix of investment assets as at 31 December 2017 as well as for the comparative period.

Table 5: Industry Asset Mix as at 31 December 2017

Assets	2016 Q4	2017 Q4	Growth Rate
Property	475,808	508,107	7%
Equities	494,610	1,176,819	138%
Money Markets	202,702	142,740	-30%
Cash	29,775	42,974	44%
Other Investments	436,321	273,476	-37%
Prescribed Assets	169,621	301,168	78%
Total Assets	1,808,837	2,445,284	35%

Figure 3: Asset allocation as at 31 December 2017



6.6 As indicated in the table above, there was a notable increase of 78% in prescribed asset investments from \$169 million as at 31 December 2016 to \$301 million as at 31 December 2017.

6.7 The average industry's investment into prescribed assets stood at 12.32% as at the reporting date which is quite commendable.

6.8 However, some institutions were below the minimum threshold of 7.5% which is required as investment into prescribed assets. Such players should put in place measures to ensure compliance with the minimum prescribed asset ratio on an ongoing basis to avoid being penalized.

6.9 As at 31 December 2017, long term assets comprising of fixed properties and equities for the industry constituted 69% of the total investment assets. Such an asset allocation reflects the general nature of the liabilities for the sector which are also long term in nature.

6.10 Notwithstanding 6.9 above, individual insurers should constantly and consistently realign their asset portfolio to match their liabilities.

7 Reinsurance

7.1 As indicated in section 3 of this report, the primary life assurers wrote \$366 million in gross premium during the year ended 31 December 2017.

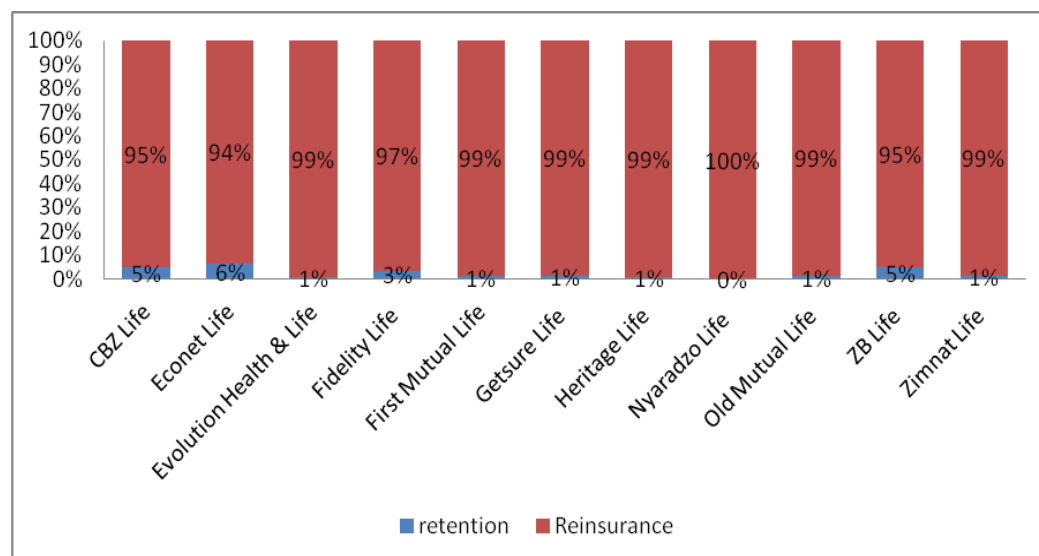
7.2 However, during the period under review, the primary life assurers ceded about \$4.8 million which is 1.3% of the total gross premium written and retaining 98.7% of the business written.

7.3 This retention level for 2017 is more than the retention level for the year ended 2016 which stood at 98.3%.

7.4 There was a general increase in retention level for individual companies with most of the primary life assurers retaining about 99% of the risk.

7.5 The figure 4 below shows levels of retention and reinsurance as at 31 December 2017.

Figure 4: Levels of retention and reinsurance



7.6 As part of the capital and risk management, insurers are encouraged to consider reducing their retention levels especially in view of the fact that some of the institutions are inadequately capitalized.

8 Earnings

8.1 Total NPW for the industry was \$361 million as at 31 December 2017, a 6% increase from \$341 million reported in the prior year.

8.2 On the other hand, total costs stood at \$305 million as at reporting date a 3.74% increase in total industry costs from \$294 million for the comparative period in 2016.

8.3 Of these total costs, about \$194 million which translate to around 64% of the total costs was towards payment of insurance claims.

8.4 The industry reported a 7.4% increase in management and administration expenses.

8.5 There was a marginal increase in the combined ratio from 63% as at 31 December 2016 to 85% as at 31 December 2017.

8.6 Accordingly, the underwriting profit for the industry decreased by about 56% from \$125.76 million as at 31 December 2016 to \$55.83 million as at 31 December 2017.

8.7 Table 6 below shows key highlights on the consolidated statement of comprehensive income for the industry for the year ended 31 December 2017.

Table 6: key highlights on the consolidated statement of comprehensive for the year ended 31 December 2017

Company	Net Premiums Written	Total Net Claims	Management and Admin Expenses	Commissions	Total Costs	Underwriting Profit and Loss	Expense Ratio	claims ratio	Combined ratio
CBZ Life	9,617	3,240	2,954	1044	7,238	2,379	42%	34%	75%
Econet Life	9,761	5,834	4,283		10,117	(356)	44%	60%	104%
Evolution Health & Life	539	83	399	90	572	(33)	91%	15%	106%
Fidelity Life Assurance	10,825	3,756	7,559	575	11,890	(1,065)	75%	35%	110%
First Mutual Life	34,845	13,899	12,945	1614	28,458	6,387	42%	40%	82%
Getsure Life Assurance	1,751	179	1,143	253	1,575	176	80%	10%	90%
Heritage Life	1,017	213	514	95	822	195	60%	21%	81%
Nyaradzo Life Assurance	95,424	48,090	36,488	8092	92,670	2,754	47%	50%	97%
Old Mutual Life Assurance	164,666	108,030	16,869	1793	126,692	37,974	11%	66%	77%
ZB Life Assurance	11,144	4,715	3,841	1692	10,248	896	50%	42%	92%
Zimnat Life Assurance	21,652	6,400	6,414	2315	15,129	6,523	40%	30%	70%
Totals	361,241	194,439	93,409	17,563	305,411	55,830	31%	54%	85%

8.8 The life insurance industry is encouraged to continue aggressive product sales and streamlining their administration costs to ensure sustainability of industry profitability.

9 Liquidity

9.1 Liquid assets mainly comprising of money market and cash decreased by 10% from \$343 million as at 31 December 2016 to \$309 million as at 31 December 2017(See Table 4 above).

9.2 Industry liquidity ratio (current ratio) improved drastically from 24% as at 31 December 2016 to 267% as at 31 December 2017 implying that the industry had adequate current assets to cover its current liabilities.

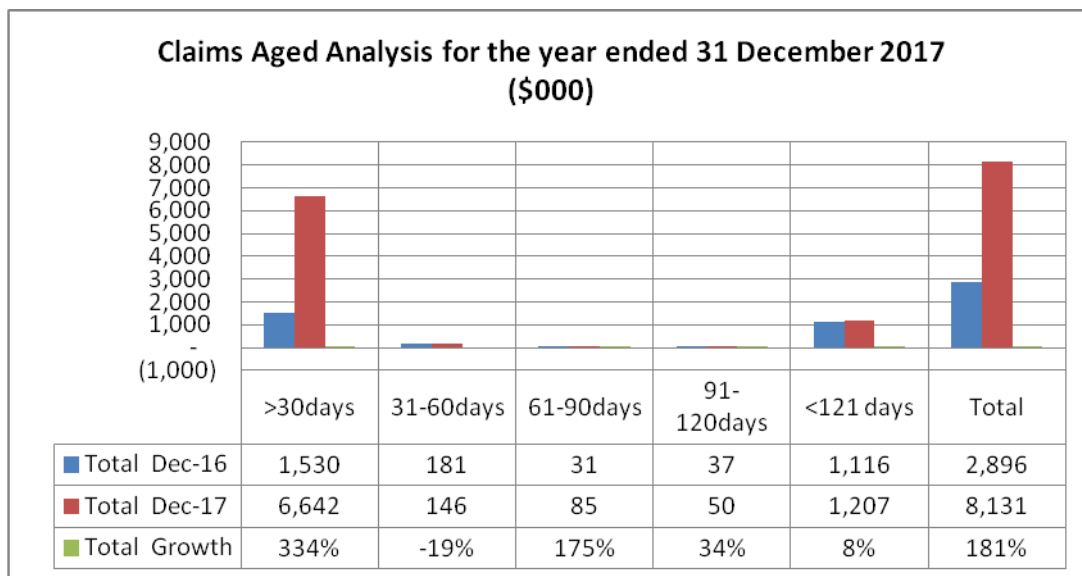
Claims Aged Analysis

9.3 Notwithstanding a favourable industry current ratio, the industry reported outstanding claims of \$8.1 million as at the reporting date of which \$1.2 million were aged more than 121 days.

9.4 The Commission therefore expects players to pay legitimate claims on time and as per the policy conditions.

9.5 The diagram below shows claims age analysis as at 31 December 2017.

Figure 5: Claims Aged Analysis as at 31 December 2017



SECTION C

PERFORMANCE OF LIFE REINSSURANCE BUSINESS

10 Number of Operational Institutions

10.1 As at 31 December 2017, there were 5 composite reinsures under the supervision of the Insurance and Pensions Commission (IPEC) as opposed to 3 in 2016.

10.2 The increase in the number of composite reinsurers is as a result of registration of 2 additional players in the reinsurance market which comprise of Grand Re and Zep Re.

10.3 There were no de-registration or suspension during the period under review.

11 Market Share

11.1 The reinsurance industry wrote a gross premium income of \$7.7 million for the year ended 31 December 2017, a 4% increase from \$7.4 million reported in the previous year.

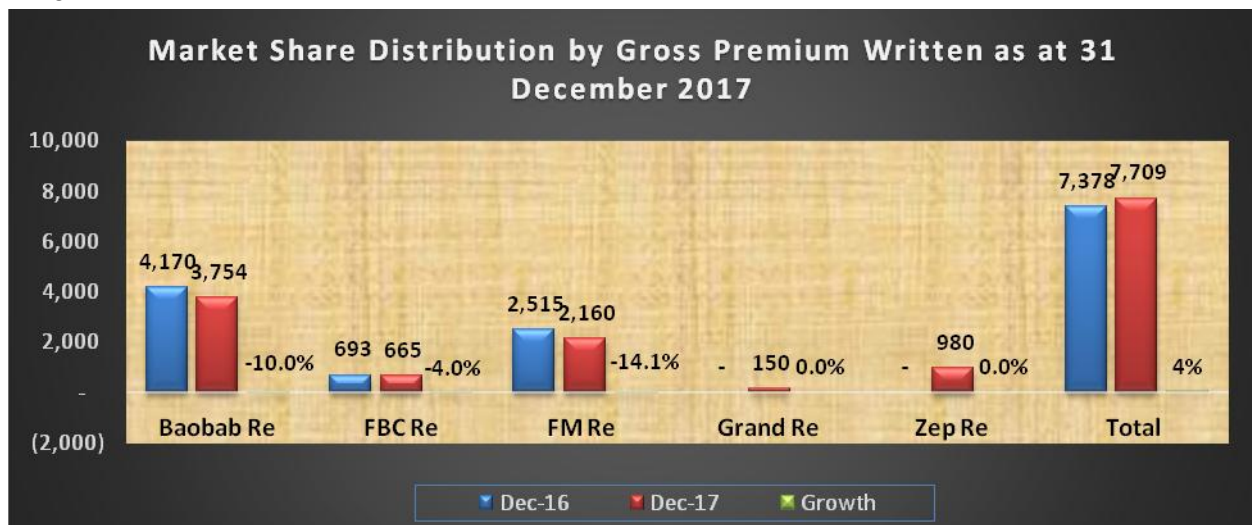
11.2 However, for players which were in existence since the beginning of the year under review, there were notable decreases in Gross premium Income (GPI) which could be attributable to increasing retention levels by primary life assurers as alluded to in section 7 of this report.

11.3 The decrease in GPI for the three players referred to in 11.2 above could also have been triggered by entrance of new players in the market who also carried part of the risk.

11.4 About 77% of the GPI was derived from Baobab and FM Re with the Baobab Re writing about 49% of the total premiums.

11.5 The figure below shows the distribution of GPI by company as at 31 December 2017.

Figure 6: Market Share by Gross Premium Income of Life Reassurers as at 31 December 2017



12 Capitalisation and Solvency

12.1 In terms of Statutory Instrument 95 of 2017, the current minimum regulatory capital for life reassures is \$5 million and for composite reassurers is \$10 million based on adjusted assets and liabilities as prescribed in the Statutory Instrument.

12.2 The total industry net assets or shareholder funds based on unadjusted assets and liabilities amounted to \$23.3 million as at 31 December 2017 which is an increase of 9% from \$21.4 million in 2016.

12.3 However, it is very important to note that the capitalization levels for all composite life reassures stated in this report are based on their reported assets and liabilities as at 31 December 2017. These figures were not adjusted in terms of Statutory Instrument 95 of 2017 as the information that is needed in adjusting the assets and liabilities were not readily available during the preparation of this report.

12.4 The Commission has scheduled a capital verification exercise that will be conducted during the year 2018 to establish the capitalization levels of individual assurers in terms of the aforementioned statutory instrument.

12.5 Table 7 below shows the capitalisation position for the composite life reassurers as at 31 December 2017.

Table 7: Capitalisation position for the composite life reassurers

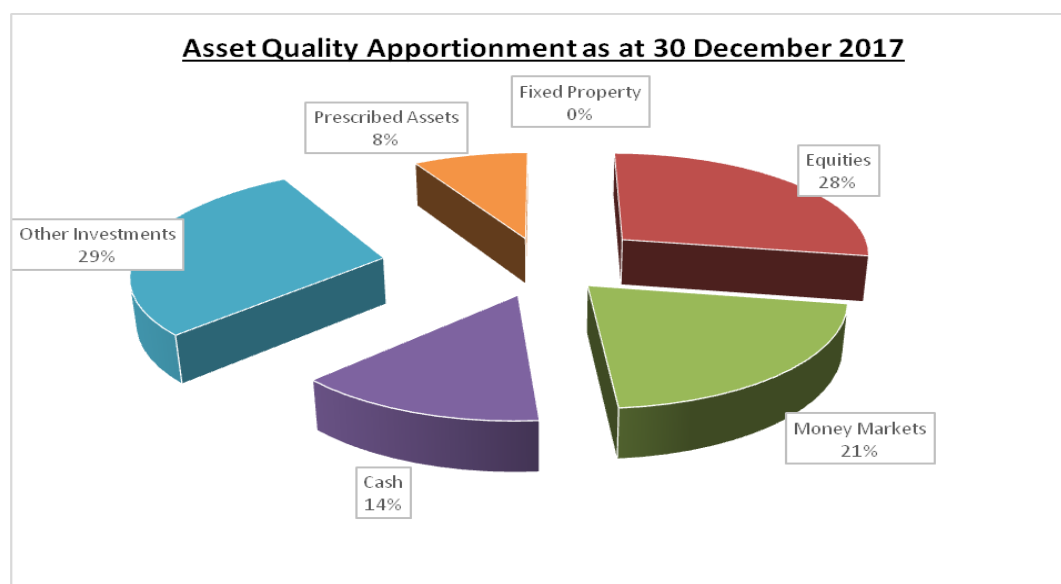
Item	Baobab Re			FBC Re			FM Re			Grand Re			Zep Re			Total		
	Dec-16	Dec-17	Growth	Dec-16	Dec-17	Growth	Dec-16	Dec-17	Growth	Dec-16	Dec-17	Growth	Dec-16	Dec-17	Growth	Dec-16	Dec-17	Growth
Current Assets	4,065	4,030	-1%	14,878	14,569	-2%	1,353	1,812	34%	-	39	0%	-	380	0%	20,296	20,830	3%
Total Assets	11,938	12,471	4%	21,412	20,635	-4%	2,315	3,602	56%	-	47	0%	-	380	0%	35,665	37,135	4%
Current Liabilities	530	515	-3%	5,062	6,848	35%	642	1,351	110%	-	87	0%	-	30	0%	6,234	8,831	42%
Total Liabilities	4,966	5,147	4%	8,533	7,098	-17%	784	1,485	89%	-	87	0%	-	30	0%	14,283	13,847	-3%
Capital	6,972	7,324	5%	12,879	13,537	5%	1,531	2,117	38%	-	(40)	0%	-	350	0%	21,382	23,288	9%
Prescribed Assets	312	989	217%	1184	1,835	0%	377	392	4%	-	-	0%	-	-	0%	1,873	3,216	72%
Prescribed Asset	3%	8%	203%	6%	9%	0%	16%	11%	-33%	0%	0%	0%	0%	0%	0%	5%	9%	65%
Current Ratio	767%	783%	2%	294%	213%	-28%	173%	134%	-22%	0%	45%	0%	0%	1267%	0%	326%	236%	-28%
Capital to Liability	140%	142%	1%	151%	191%	26%	195%	143%	-27%	0%	-46%	0%	0%	1167%	0%	150%	168%	12%

13 Asset Composition and Quality

13.1 The total assets for reassurers stood at \$36.7 million as at 31 December 2017, a 3% increase from \$35.7 million as at 31 December 2016.

13.2 Equities constituted about 28% of the total investment portfolio whereas liquid assets such as money markets and cash constituted 35% of the total investment portfolio.

13.3 Figure 8 below shows the asset composition as at 31 December 2017



**other investments include plant and equipment, receivables and unquoted shares and fixed property comprise of buildings.*

13.4 There was a 72% increase in prescribed asset investment from \$1.8 million in 2016 to \$3.2 million in 2017.

14 Reassurance Business Written

14.1 Reassurers wrote business amounting to USD6.7 million in net premiums compared to USD5.9 million in the same period in 2016.

14.2 For the period under review, the total of reassurance business written translated to a positive growth of 13% attributable to Grand Re and Zep Re coming on board.

Table 8: Market Analysis by Net Premiums for the year ended 31 December 2017

	Dec-16	Dec-17	Growth
Baobab Re	3,567	3,262	-9%
FBC Re	450	603	34%
FM Re	1,898	1,746	-8%
Grand Re	-	112	0%
Zep Re	-	941	0%
Total	5,915	6,664	13%

15 Cost Drivers

15.1 The life reassurance business had a combined ratio of 100%, which was mainly attributed to an increase in claims that were not reported on time and had to be settled in the current review period.

15.2 Total costs for reassurers stood at USD6.6 million and underwriting profit was negative USD18 thousand. Industry players are advised to employ cost cutting measures in order to increase profitability. (See table below).

Table 9: Cost Drivers for the year ended 31 December 2017

Company	Total Net Claims	Management and Admin Expenses	Commissions	Total Costs	Underwriting Profit and Loss	Expense Ratio	Claims ratio	Combined ratio	Net Premiums
Baobab Re	1,710	790	858	3,358	(96)	51%	52%	103%	3,262
FBC Re	465	82	-48	499	4	7%	92%	99%	503
FM Re	863	603	392	1,858	(112)	57%	49%	106%	1,746
Grand Re	168	2	27	197	(85)	26%	150%	176%	112
Zep Re	215	74	381	670	271	48%	23%	71%	941
Totals	3,421	1,551	1,610	6,582	(18)	48%	52%	100%	6,564

16 Compliance in Prescribed Assets

16.1 Zep Re and Grand Re reported some negative prescribed asset ratios and only Baobab Re, FM Re and FBC Re were fully compliant in terms of the prescribed asset ratio of 7.5% see table below.

Table 10: Investments in prescribed assets

Reinsurer	Prescribed asset	Total assets	Prescribed	Amount required	Variance in
	Investments		asset ratio	to be compliant	compliance%
Baobab Re	989.00	12,471.00	7.93%	935.33	0.4%
FBC Re	1,835.00	20,635.00	8.89%	1,547.63	1.4%
FM Re	392.00	3,602.00	10.88%	270.15	3.4%
Grand Re	-	47.00	0.00%	3.53	-7.5%
Zep Re	-	380.00	0.00%	28.50	-7.5%
Total	3,216.00	37,135.00	8.66%	2,785.13	1.2%

CONCLUSION

- 17.1** The industry is encouraged to take note of **ALL** regulatory developments to ensure compliance with all applicable laws, statutes, directives, guidelines and circulars on an ongoing basis. In particular, the industry is expected to conduct self assessments with respect to solvency capital requirements on an ongoing basis as dictated under statutory instrument 95 of 2017. Players who find themselves not to be compliant with such applicable laws and statutes should approach the Commission with their proposed actions to address the non compliance.
- 17.2** In addition, the industry is expected to make progressive efforts to comply with the Commission's Directive on Risk Management and Corporate Governance for Insurance Companies which took effect on the 1st of January 2018.
- 17.3** Given the rise in administrative and management costs for insurance companies, individual players are expected to put in place measures that contain such costs within reasonable and acceptable thresholds. This will ensure sustainable profits for the industry in the long term.
- 17.4** The life insurance industry should consider new markets such as informal and low-income sectors which is in line with the financial inclusion thrust and the micro insurance frame work that was recently adopted by the Commission.
- 17.5** Players in the life assurance industry should submit quarterly returns timeously to ensure swift finalisation of this report. More importantly, players should accurately and consistently provide their statistics for each quarter to avoid delays arising from further clarifications being sought by the Commission on each individual player's submissions.

ANNEXURES

ANNEXURE 1: Life Insurers GPW by Policy Type for the quarter ended 31 December 2017

	Annuities			Term Insurance			Endowment			Pure Endowment			Whole Life			Funeral			Fund Business			Other/GLA		
Company	Dec-16	Dec-17	Growth (%)	Dec-16	Dec-17	Growth (%)	Dec-16	Dec-17	Growth (%)	Dec-16	Dec-17	Growth (%)	Dec-16	Dec-17	Growth (%)	Dec-16	Dec-17	Growth (%)	Dec-16	Dec-17	Growth (%)	Dec-16	Dec-17	Growth (%)
CBZ Life	-	-	0%	3,363	3,594	7%	28	28	0%	-	-	0%	122	155	27%	5,991	6,077	1%	-	-	0%	-	242	100%
Econet Life	-	-	0%	436	-	0%	-	-	0%	-	-	0%	-	-	0%	5,897	9,934	68%	-	-	0%	-	492	100%
Evolution Health & Life	-	-	0%	-	-	0%	-	-	0%	-	-	0%	7	-	100	657	-	-100%	-	-	0%	-	542	0%
Fidelity Life Assurance	289	413	43%	436	107	-75%	345	1,693	391%	203	462	128%	286	126	-56%	2,279	1,748	-23%	-	6,501	0%	9,197	164	-98%
First Mutual Life	6,147	6,037	-2%	3,459	4,606	33%	327	396	21%	-	-	0%	790	803	2%	7,891	7,603	-4%	10,215	10,029	100%	7,873	5,770	-27%
Getsure Life Assurance	-	-	0%	570	445	-22%	-	-	0%	-	-	0%	226	148	-35%	172	454	164%	-	-	0%	314	730	132%
Heritage Life	-	79	0%	-	-	0%	-	2	0%	-	-	0%	-	5	100%	264	939	256%	6	-	-100%	1,461	-	-100%
Nyaradzo Life Assurance	-	-	0%	-	-	0%	-	-	0%	-	-	0%	-	-	0%	81,395	95,424	17%	-	-	0%	-	-	0%
Old Mutual Life Assurance	8,762	9,167	5%	-	-	0%	-	136	0%	-	-	0%	6,546	6,688	2%	4,296	4,174	-3%	125,106	125,037	0%	22,215	21,370	-4%
ZB Life Assurance	129	144	12%	793	687	-13%	1,100	757	-31%	1,627	2,213	36%	72	68	-6%	1,099	1,496	36%	-	1,450	100%	5,856	4,906	-16%
Zimnat Life Assurance	536	246	-54%	-	-	#DIV/0!	-	-	0%	-	-	0%	1,206	1,267	5%	3,938	4,720	20%	7,060	9,966	100%	5,566	5,757	3%
Total	15,863	16,086	1%	9,057	9,439	4%	1,800	3,012	67%	1,830	2,675	46%	9,255	9,260	0%	113,879	132,569	16%	142,387	152,983	7%	52,482	39,973	-24%

ANNEXURE 2: Life Insurers lapse Ratios as at 31 December 2017

Company	Number of Lapsable Policies at the Beginning of the Quarter	Lapsed Policies (Individual Life)	Lapsed Policies (EB /Corporates)	Lapsed Policies (Others)	Lapse Ratio
CBZ Life	64,268	2,390			3.72%
Econet Life	1,071,344	42,632	-		3.98%
Evolution Health & Life	68,555	68,153			99.41%
Fidelity Life Assurance	-	-			0.00%
First Mutual Life	113,061	15,017			13.28%
Getsure Life Assurance	37,404	848	-	-	2.27%
Heritage Life	-	-			0%
Nyaradzo Life Assurance	332,737	78,545	147		23.65%
Old Mutual Life Assurance	51,444	1,397			2.72%
ZB Life Assurance	8,134	652			8.02%
Zimnat Life Assurance	33,364	1,427			4.28%
Totals	1,780,311	211,061	147	-	11.86%

ANNEXURE 3: Not taken up policies for Life Insurers as at 31 December 2017

Company	Number of Policies (NTU)	Gross Premium (NTU)
		\$ 000'
CBZ Life	209	2
Econet Life	6,870	10
Evolution Health & Life	-	-
Fidelity Life Assurance	-	-
First Mutual Life	1,840	37
Getsure Life Assurance	13	0
Heritage Life	-	-
Nyaradzo Life Assurance	-	-
Old Mutual Life Assurance	22	1
ZB Life Assurance	266	10
Zimnat Life Assurance	-	-
Totals	9,220	60

ANNEXURE 4: Life Industry Asset Bases as at 31 December 2017

(values are in \$'000's)	Fixed Property			Equities			Money Markets			Cash			Other Investments			Prescribed Assets			Total Assets		
Co. Name	Dec-16	Dec-17	Growth	Dec-16	Dec-17	Growth	Dec-16	Dec-17	Growth	Dec-16	Dec-17	Growth	Dec-16	Dec-17	Growth	Dec-16	Dec-17	Growth	Dec-16	Dec-17	Growth
CBZ Life	1,500	3,832	155%	-	898	0%	11,265	10,352	-8%	2,091	3,437	0%	4,322	1,257	-71%	3,100	2,614	-16%	22,278	22,390	1%
Econet Life	-	-	0%	2,226	8,792	0%	2,154	913	0%	588	712	21%	1,750	3,652	109%	613	1,646	169%	7,331	15,715	114%
Evolution Health & Life	72	56	0%	1,556	1,100	0%	-	-	#DIV/0!	23	23	2%	1,853	2,344	26%	295	95	100%	3,799	3,618	-5%
Fidelity Life Assurance	17,171	19,438	13%	27,485	33,613	22%	3,671	3,264	-11%	447	745	67%	51,861	12,345	-76%	1,655	31,143	1782%	102,290	100,548	-2%
First Mutual Life	633	-	-100%	21,843	39,494	81%	10,787	10,331	-4%	3,054	10,280	237%	90,276	146,773	63%	16,233	32,244	99%	142,826	239,122	67%
Getsure Life Assurance	394	375	-5%	-	3,131	0%	-	85	0%	107	178	66%	4,140	1,737	-58%	156	680	336%	4,797	6,186	29%
Heritage Life	710	50	-93%	1,273	2,093	64%	162	-	-100%	117	137	17%	2,074	496	-76%	-	20	100%	4,336	2,796	-36%
Nyaradzo Life Assurance	37,408	53,098	42%	1,083	3,359	210%	6,305	4,676	-26%	7,139	9,446	32%	44,220	35,531	-20%	8,825	11,938	35%	104,980	118,048	12%
Old Mutual Life Assurance	394,832	407,388	3%	416,669	1,042,825	150%	144,631	77,469	-46%	13,225	13,890	5%	192,021	31,933	-83%	130,914	209,747	60%	1,292,292	1,783,252	38%
ZB Life Assurance	2,798	2,785	0%	6,686	12,169	82%	4,065	1,873	-54%	85	144	69%	32,922	30,521	-7%	3,112	3,958	27%	49,668	51,450	4%
Zimnat Life Assurance	20,290	21,085	4%	15,789	29,345	86%	19,662	33,777	72%	2,899	3,982	37%	10,882	6,887	-37%	4,718	7,083	50%	74,240	102,159	38%
Total	475,808	508,107	7%	494,610	1,176,819	138%	202,702	142,740	-30%	29,775	42,974	44%	436,321	273,476	-37%	169,621	301,168	78%	1,808,837	2,445,284	35%

*other investments comprise of property, plant and equipment, receivables and unquoted shares.

ANNEXURE 5: Life Assurers Prescribed Asset Ratio Status as at 31 December 2017

Insurer	Prescribed asset	Total assets	Prescribed	Amount required	Variance in
	Investments		asset ratio	to be compliant	compliance%
CBZ Life	2,614	22,390	11.67%	1,679.25	4.2%
Econet Life	1,646	15,715	10.47%	1,178.63	3.0%
Evolution Health & Life	95	3,618	2.63%	271.38	-4.9%
Fidelity Life Assurance	31,143	100,548	30.97%	7,541.10	23.5%
First Mutual Life	32,244	239,122	13.48%	17,934.15	6.0%
Getsure Life Assurance	680	6,186	10.99%	463.95	3.5%
Heritage Life	20	2,796	0.72%	209.70	-6.8%
Nyaradzo Life Assurance	11,938	118,048	10.11%	8,853.60	2.6%
Old Mutual Life Assurance	209,747	1,783,252	11.76%	133,743.90	4.3%
ZB Life Assurance	3,958	51,450	7.69%	3,858.75	0.2%
Zimnat Life Assurance	7,083	102,159	6.93%	7,661.93	-0.6%
Total	301,168	2,445,284	12.32%	183,396.33	4.8%

ANNEXURE 6: Movements in Circulars and Statutory Instruments

Statutory Instrument/ Circular	Subject	Date Gazetted
Circular 1 of 2017	Review of preserved employer's portion	24-Jan-17
Circular 2 of 2017	Pension Commutation for retrenched employees.	27-Jan-17
Circular 3 of 2017	Data collection exercise - Membership Information	3-Apr-17
Circular 4 of 2017	Revised quarterly return template	24-Apr-17
Circular 5 of 2017	Amendment of Fund Rules to comply with prescribed requirements.	25-Apr-17
Circular 6 of 2017	Use of employees of registered Insurers, Banc assurance, Corporate agents and Consultants in transacting insurance business.	26-Apr-17
Circular 7 of 2017	Prohibition of Insurance Touting	5-Jul-17
Circular 8 of 2017	Insurance Awareness Day	7-Jul-17
Circular 9 of 2017	Data Collection Exercise - Membership Information	10-Jul-17
Circular 10 of 2017	Sunday Mail Business News 06 August 2017 'RBZ Credit Bureau registers 97% bank loans'	8-Aug-17
Statutory Instrument 95 of 2017	Capital and admissibility of assets	25-Aug-17
Circular 11 of 2017	Invitation for input to the 2018 National Budget Statement	6-Oct-17
Circular 12 of 2017	Training workshop on insurance and pension commission online system	26-Oct-17
Circular 13 of 2017	Data collection exercise - Membership Information	30-Oct-17
Circular 14 of 2017	Certificate of proficiency (COP) in trusteeship	7-Nov-17
Circular 15 of 2017	Restrictions of placement of insurance business outside Zimbabwe	9-Nov-17
Circular 16 of 2017	Training workshop on insurance and pension commission online system	7-Dec-17